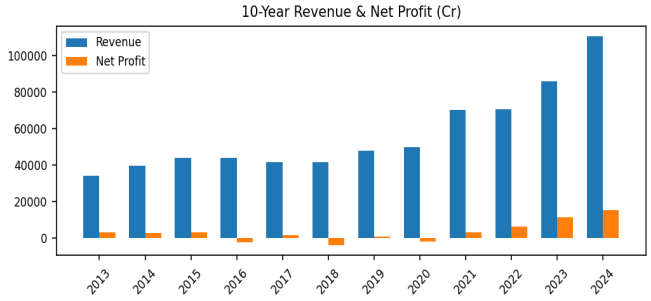
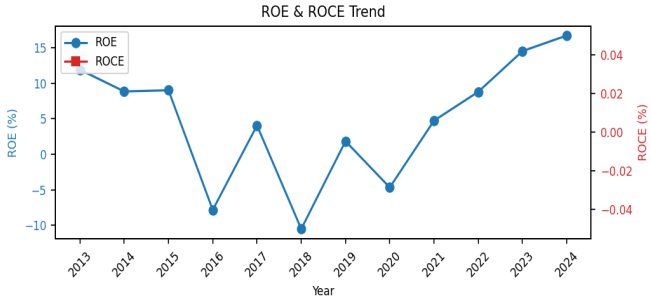
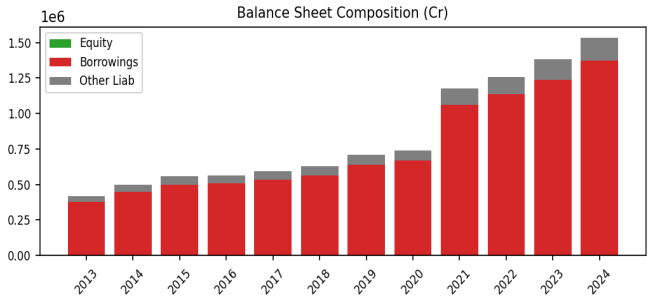
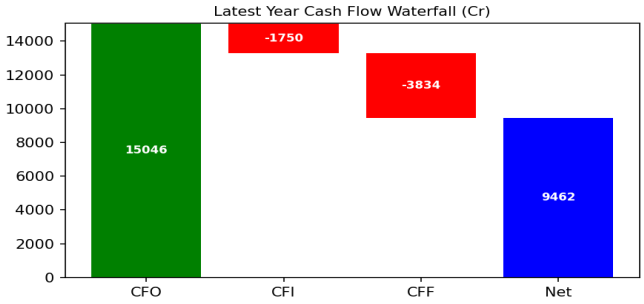
Canara Bank (CANBK)

Revenue	Net Profit	Total Equity
■11.1T	■1.5T	■1814Cr
ROE	**ROCE**	**D/E**
16.7%	-	14.87x









Pros	Cons
• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (Conf: 85%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Net profit compounding at above 20% over 5 years creates significant shareholder value (Conf: 90%) • Consistent dividend yield above 2% backed by positive free cash flow (Conf: 80%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Return on equity improving for 3 consecutive years shows strengthening business quality (Conf: 75%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Operating margins declining for 3 consecutive years suggest pricing or cost pressure (Conf: 85%) • Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%) • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%)

Capital Allocation Pattern: Reinvestor